

Macquarie Income Fund

Product Disclosure Statement

1 January 2026

Issued by: Macquarie Investment Management Limited

SAMPLE DOCUMENT FOR DEMONSTRATION PURPOSES ONLY. This document contains synthetic data inspired by publicly available information and does not constitute financial advice.

1. About Macquarie Investment Management

Macquarie Investment Management Limited (ABN 66 002 867 003, AFSL 237492) is the responsible entity and investment manager of the Macquarie Income Fund. Macquarie Investment Management is a division of Macquarie Asset Management, part of the Macquarie Group (ASX: MQG).

ABN	66 002 867 003
AFSL	237492
Founded	1969
Headquarters	Sydney, NSW
Division AUM	AUD 643 billion (global)
Parent	Macquarie Group Limited (ASX: MQG)

AFSL 237492 is current and in good standing. There have been no enforceable undertakings issued by ASIC against Macquarie Investment Management Limited in relation to this fund. The firm operates within a robust compliance framework overseen by the Macquarie Group's Risk Management Division.

Macquarie Group is one of Australia's premier financial institutions, listed on the ASX with a market capitalisation exceeding AUD 80 billion. The Asset Management division benefits from the group's global infrastructure, technology, and risk management capabilities.

2. Investment Philosophy & Process

The Macquarie Income Fund is a conservative fixed income fund designed to provide investors with a regular income stream while preserving capital. The fund targets returns above the Bloomberg AusBond Bank Bill Index over rolling 1-year periods.

Investment philosophy:

- Capital preservation is the primary objective. Income generation is secondary to protecting investors' capital.
- Credit risk is the primary source of incremental return above cash. Duration risk is actively managed but kept short.
- Disciplined, process-driven approach with rigorous credit research reduces the risk of permanent capital impairment from defaults.

Alpha Sources

The fund targets modest excess return over the benchmark through: (1) credit selection -- investing in investment-grade and select sub-investment-grade corporate bonds offering attractive spreads relative to default risk, (2) duration management -- modest tactical adjustments to portfolio duration based on interest rate outlook, and (3) yield curve positioning -- exploiting relative value along the yield curve.

Process Evolution

The investment process was enhanced in 2022 with the introduction of proprietary quantitative credit scoring models. These models complement fundamental credit research and provide early warning signals on deteriorating credit quality. The fund's duration management approach was tightened in 2023 following the rapid rate-hiking cycle, with the maximum deviation from benchmark duration reduced from +/-1.5 years to +/-1.0 year.

3. Portfolio Construction

The fund constructs a diversified portfolio of Australian dollar-denominated fixed income securities:

Portfolio Parameters

Target Duration	0.0 - 1.5 years (benchmark: ~0.2 years)
Max Duration Deviation	+/- 1.0 year vs benchmark
Credit Quality (min)	BBB- (investment grade)
Sub-IG Allowance	Max 5% of portfolio
Single Issuer Limit	5% (excl. Commonwealth/State govt)
Single Sector Limit	30%
Min Liquidity (7-day)	50% of portfolio
Max Maturity (single)	5 years

Asset Allocation Ranges

Bank Deposits & Bills	20-60%
Corporate Bonds (IG)	20-50%
Government/Semi-Govt	10-40%
Asset-Backed Securities	0-20%
Sub-Investment Grade	0-5%

The fund does not use leverage or derivatives except for interest rate futures to manage portfolio duration within permitted ranges.

4. Benchmark & Objectives

Benchmark	Bloomberg AusBond Bank Bill Index
Return Objective	Benchmark + 0.50% p.a. (after fees)
Risk Objective	No negative quarterly return
Time Horizon	Rolling 1-year periods

The Bloomberg AusBond Bank Bill Index is a widely used benchmark for Australian short-term fixed income investments. It represents the return on a portfolio of bank-accepted bills and negotiable certificates of deposit.

The benchmark is appropriate because: (1) it reflects the fund's short-duration, income-focused mandate, (2) it is widely used by peers in the enhanced cash/short-term fixed income category, (3) it has been used since the fund's inception in November 2000 with no changes, and (4) its composition (bank bills) closely matches the fund's credit quality and duration characteristics.

5. Key Personnel

Ben Way -- Group Head, Macquarie Asset Management

Ben Way is the Group Head of Macquarie Asset Management, overseeing all investment management activities globally. He has over 30 years of experience in financial services and has been with Macquarie since 1993.

Fixed Income Team

The Australian Fixed Income team responsible for this fund comprises:

- Head of Australian Fixed Income (22 years experience, 14 years at Macquarie)
- 2 Senior Portfolio Managers (average 18 years experience)
- 4 Credit Analysts (covering financials, industrials, utilities, ABS)
- 2 Rates/Duration Strategists
- 1 Portfolio Implementation Specialist

Team size 10 dedicated professionals

Average tenure 11.3 years

Average experience 17 years

Key person: The Head of Australian Fixed Income is identified as the key person for this fund. Succession plan: The two Senior PMs have co-signing authority and full capability to manage the fund independently. All credit research is team-based with multiple analyst coverage per sector.

6. ESG Integration

Macquarie Asset Management is a UNPRI signatory (since 2014). ESG integration in the fixed income process includes:

- Credit research incorporates ESG risk assessment for all issuers (governance and environmental factors can affect credit quality)
- Exclusions: Controversial weapons manufacturers, companies deriving >10% revenue from thermal coal mining
- Green bonds: The fund may invest in certified green bonds where credit quality meets requirements
- Engagement: Active engagement with issuers on governance and sustainability disclosure
- Climate: Portfolio exposure to carbon-intensive industries is monitored and disclosed quarterly

UNPRI Assessment (most recent): A for Fixed Income -- SSA, A for Fixed Income -- Corporate.

7. Conflicts of Interest

Macquarie's Conflicts of Interest framework:

- Related parties: The fund may hold securities issued by Macquarie Group or affiliates, subject to independent approval and the same credit assessment process as any other issuer. Related-party holdings are disclosed in the annual report.
- Personal trading: All investment staff subject to Macquarie Group's personal account dealing policy (pre-clearance, 30-day hold, blackout periods)
- Soft dollars: Not accepted. All research paid from firm P&L.
- Trade allocation: Pro-rata allocation across all Macquarie fixed income funds. New issue allocations follow a documented fair allocation policy reviewed by Compliance.
- Board: The Responsible Entity Board has majority independent directors (5 of 7). Investment decisions are made by the investment team, not the Board.

8. Fees & Costs

Management Fee (MER)	0.28% p.a. of NAV
Indirect Cost Ratio (ICR)	0.01% p.a.
Performance Fee	Nil
Buy Spread	0.00%
Sell Spread	0.05%
Entry/Exit Fees	Nil

The Management Fee of 0.28% p.a. is one of the lowest in the enhanced cash/short-term fixed income category, reflecting the fund's scale (AUD 4.2 billion) and Macquarie's commitment to competitive pricing for income investors.

The minimal buy spread (zero) and low sell spread (0.05%) reflect the high liquidity of the underlying portfolio. The sell spread compensates existing investors for the small transaction costs of liquidating positions to meet redemptions.

Total estimated cost: 0.29% p.a. plus 0.05% sell spread on exit.

9. Business Viability

Fund AUM	AUD 4,200 million
Fund Inception	30 November 2000
APIR Code	MAQ0045AU
Macquarie AM Total AUM	AUD 643 billion (global)
Australian Fixed Income AUM	AUD 32 billion
Parent Market Cap	~AUD 80 billion (MQG)

The Macquarie Income Fund is one of the largest short-term fixed income funds in Australia. At AUD 4.2 billion, the fund benefits from significant economies of scale, enabling a low management fee while supporting a dedicated 10-person investment team.

Macquarie Group's financial strength (AA- credit rating, market cap ~AUD 80B) provides exceptional counterparty and operational stability. There are no indicators of fund wind-down risk.

AUM Trend

Dec 2023	AUD 3,800 million
Dec 2024	AUD 4,050 million
Dec 2025	AUD 4,200 million
3-Year CAGR	+6.8%

Consistent net inflows driven by institutional demand for quality short-duration income strategies.

10. Risk Disclosures

Key risks of investing in the Macquarie Income Fund:

- Credit risk: The risk that a bond issuer defaults on interest or principal payments. Mitigated by investment-grade focus and diversification.
- Interest rate risk: Bond prices fall when rates rise. Mitigated by short duration (0-1.5 years) and active duration management.
- Liquidity risk: The risk that securities cannot be sold at fair value. Mitigated by 50% minimum 7-day liquidity requirement.
- Counterparty risk: Managed through ISDA agreements and daily margining on any derivative positions.

Risk Metrics (Target)

Portfolio Duration	0.0 - 1.5 years
Credit Duration	0.5 - 2.0 years
Tracking Error vs Benchmark	< 0.5% p.a.
Value-at-Risk (95%, 1-day)	< 0.05% of NAV
Expected Max Drawdown	< -0.5% (quarterly)

11. Regulatory Information

Macquarie Investment Management Limited holds AFSL 237492:

- Licence is current and in good standing
- Authorised to operate managed investment schemes
- ARSN: 090 079 167
- No enforceable undertakings in past 10 years
- No material regulatory actions or proceedings
- AFCA member

The fund operates within Macquarie Group's comprehensive regulatory compliance framework, which is subject to oversight by ASIC, APRA, and international regulators in each jurisdiction of operation.

12. Compliance Framework

Macquarie's compliance function benefits from the group's global scale:

- Dedicated compliance team for Asset Management (15 professionals in Australia)
- Group Compliance oversight and coordination
- Automated pre-trade compliance via Bloomberg AIM
- Monthly compliance reporting to RE Board
- Annual compliance plan (Board-approved January 2026)
- Mandatory training: 100% completion rate

Breach register: Zero breaches relating to the Income Fund in the past 3 years. Two minor operational breaches across the broader fixed income platform (both self-identified, no client impact).

13. Governance Structure

The Macquarie Income Fund's governance:

- Responsible Entity Board: 7 directors, 5 independent
- Investment Committee: Head of Fixed Income + 2 Senior PMs + CRO
- Credit Committee: Approves all new credit exposures
- Product Governance Committee: Oversees fund operations
- Board Risk Committee: Independent oversight of risk framework

14. Operational Risk Management

Key operational controls:

- Daily independent reconciliation (Macquarie vs custodian)
- Independent pricing verification (Bloomberg/ICE feeds)
- Segregation of duties: Front office / Middle office / Back office
- Dual authorisation for all payments and settlements
- ISAE 3402 reports from custodian and administrator

15. Custodian & Administration

Fund custodian: National Australia Bank Limited (NAB) -- an APRA-regulated ADI.

Custodian NAB (APRA-regulated)

Administrator NAB Asset Servicing

Registry Link Market Services

Auditor PricewaterhouseCoopers (PwC)

NAB as custodian provides segregation of fund assets from Macquarie Group's own assets, ensuring investor protection in the unlikely event of Macquarie's insolvency.

16. Business Continuity

RTO	2 hours for trading systems
RPO	15 minutes (real-time data replication)
DR Sites	Multiple (Sydney CBD, Parramatta, Melbourne)

Macquarie Group's global infrastructure provides exceptional resilience:

- Multiple geographically diverse data centres
- Full hot-standby capability at DR sites
- Quarterly BCP/DR testing (last: November 2025)
- COVID validation: Uninterrupted operations throughout 2020-21

The firm's BCP has been tested and proven effective through multiple real-world events including natural disasters, technology failures, and the pandemic.

17. Taxation

The fund operates under the AMIT regime. Distributions are made monthly, comprising interest income and any realised capital gains. Monthly distributions provide regular income to investors, consistent with the fund's income-focused mandate.

18. Withdrawals

Daily liquidity: Withdrawal requests lodged before 12pm AEST are processed at that day's unit price. Payment typically within 2-3 business days. The fund's high liquidity profile (50%+ realisable in 7 days) supports daily redemptions without gates or notice periods under normal market conditions.

19. Derivatives Use

The fund may use the following derivatives for risk management purposes only:

- Interest rate futures: To manage portfolio duration within permitted ranges
- No credit derivatives (no CDS)
- No currency derivatives (AUD-denominated securities only)
- No options or structured products

Derivative positions are margined daily and do not create leverage. Gross derivative exposure is limited to 20% of NAV for duration management purposes.

20. Credit Research Process

The fund's credit research process:

- Initial screening: Quantitative credit score (proprietary model)
- Fundamental analysis: Financial statement review, management assessment, industry dynamics
- ESG overlay: Governance and environmental risk factors
- Credit Committee approval: All new positions require formal approval
- Ongoing monitoring: Quarterly credit reviews, automated alert triggers

The team covers approximately 200 Australian issuers, with each analyst responsible for 40-50 credits across their assigned sectors.

21. Counterparty Management

Counterparty risk controls:

Min counterparty rating	A- (for OTC transactions)
ISDA agreements	In place with all derivative counterparties
Daily margining	Required for all OTC positions
Exposure limits	Monitored and reported daily

The fund's counterparty exposure is minimal given the focus on direct bond holdings and exchange-traded futures.

22. Valuation Policy

Securities are valued daily using independent pricing sources:

- Government bonds: Bloomberg/AOFM pricing
- Corporate bonds: Bloomberg BVAL / ICE
- Bank deposits: Amortised cost (appropriate for short-dated instruments)
- ABS: Bloomberg/dealer consensus pricing

Pricing exceptions are reviewed daily by the middle office. Stale prices (unchanged >5 days) trigger independent verification. Material pricing adjustments require CCO approval.

23. Distribution History

The fund has paid monthly distributions continuously since inception (November 2000):

FY2025 Distribution 4.32 cents per unit

FY2024 Distribution 4.15 cents per unit

FY2023 Distribution 3.68 cents per unit

Monthly distributions provide a steady income stream for investors. Distribution amounts vary with prevailing interest rates and credit spreads.

24. Key Person Clause

The PDS identifies the Head of Australian Fixed Income as the key person for this fund. In the event of their departure, Macquarie undertakes to notify investors within 10 business days and provide details of transitional arrangements.

Mitigation: The team of 10 professionals with average tenure of 11 years provides depth beyond any single individual. The two Senior PMs each have full authority to manage the fund independently.

25. Minimum Investment

Minimum Initial Investment AUD 5,000

Minimum Additional AUD 1,000

Minimum Balance AUD 5,000

The minimum investment has been set to balance accessibility for retail investors with administrative efficiency.

26. Contact Information

Macquarie Investment Management Client Services

Phone: 1800 814 523

Email: service@macquarie.com

Website: www.macquarie.com/investing

Address: 50 Martin Place, Sydney NSW 2000